

GREECE
2008

1. Review of the system

1.1. Average Worker Wage (AW)

For the year 2008 the average gross income of a worker amount to 16700¹ €.

2. Unemployment Insurance

The unemployment insurance system covers persons who are insured against diseases with a social insurance body. The benefits are divided into regular benefits and special allowances. This programme is targeted on employees that became unemployed against their will and are not capable of finding a job relevant to their qualifications.

2.1 Condition for receipt

- The person must be capable of and available for work
- The person must be unemployed unwillingly
- The person must have registered with an employment agency.
- The person must not receive a pension equal to or larger than the minimum pension granted by IKA (Social Insurance Institute)
- The person must not be self-employed.

2.1.1 Employment conditions

- 125 days of employment in the last 14 months prior to applying for the benefit, or
- 200 days of employment in the last 2 years prior to applying for the benefit

The persons applying for the benefit for the first time must have worked for at least 80 days per year in the last two years prior to their application.

2.1.2 Contributions conditions

The system is contributory. The contributions made to the OAED (Manpower Employment Organization) are paid both by the employer and the employee.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Pursuant to article 5 of Act 3352/07 the unemployed that were employed in a full-time job, the basic unemployment benefit is defined to 50% of the daily wage of the unskilled worker from January 1st and from January 1st 2008 to 55% of the daily wage of the unskilled worker. To the unemployed that were not employed in a full-time job and whose monthly wages were lower than or equal to the six-fold of the daily wage of the unskilled worker, 50% of the basic unemployment benefit is paid, whereas to the unemployed that were not employed in a full-time job and whose monthly wages were higher than the six-fold and lower than or equal to the twelve-fold of the daily wage of the unskilled worker, 75% of the basic unemployment benefit is paid.

The basic daily unemployment benefit on the 1st of July 2008 amounts to 16,72€, while the monthly one to 418,00€.

The lowest daily unemployment benefit is 8,61€ and the monthly 215,30€.

The unemployment benefit is paid for 25 days per month and increases by 10% for every dependant member of the beneficiary.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2007-2008, OECD, 2009, part 5, sections 2 and 3.

2.2.2 Income and earnings disregards

None. The payment of the benefit is interrupted in case there is an income from commercial businesses or liberal professions.

The payment of the unemployment benefit may be combined with a part time employment in case the monthly remuneration of the worker for his/her part-time job is less than the approved amount of the monthly unemployment benefit. But in this case, the OAED will offset the amount paid as benefit with the amount received as salary for the part-time job and it will pay the difference to the beneficiary.

In case the beneficiary's monthly remuneration for his/her part-time job exceeds the amount of the monthly unemployment benefit, the payment of the benefit is suspended due to the taking up a post. This regulation has been applied since beginning of 1990.

2.3 Tax treatment of the benefit

No taxation is imposed on the benefit.

2.4 Benefit duration

Following a waiting period of six days the benefit is paid during a period, which differs depending to the worker's employment background:

Days of employment	Duration (months)
125-149	5
150-179	6
180-219	8
220-249	10
250 or more	12
210 days and 49+ years old	12

In all cases the payment of the benefit is of 12 months duration, if the applicant has actually worked for 4050 days or more.

In order to be entitled to receive the benefit once again, the applicant must perform actual work.

2.5 Treatment of particular groups

2.5.1 Young persons

Benefit paid to young persons (aged 20-29)

The benefit is paid to young persons, on condition that these are unemployed and remain included in the list of the unemployed for one year. The benefit amounts to 73,37€ per month and increases by 5,87€ for each dependant (child-spouse), and is paid for a period of 5 months. The benefit aims to support new entrants into the labour market.

Family status	Amount (in €s)
Single parent	73,37
Couple	79,24
Either single parent or a couple with children	5,87 for each child

2.5.2 Older workers

The unemployed aged persons that are older than 65 years old, have no assets and whose income does not exceed the OGA(Agricultural Insurance Institute) basic pension, are granted a pension, which is equal to the basic pension granted by the OGA, in the framework of a special account. The OGA grants the said pension on order of the Ministry of Health and Social Solidarity.

The amounts of pensions granted to uninsured persons by the OGA in the year 2008 are as follows:

330,00€ granted to persons without family burdens

333,32€ granted to persons with a spouse under 65 years of age

336,63€ granted to persons with children under 18 years of age and a spouse over 65 years of age who does not receive a pension.

3. Unemployment Assistance

3.1 Special aids (Conditions and duration)

3.1.1 Special aid after the end of payment of the unemployment allowance

A special allowance, which comprises 13 basic daily wages of the unemployment benefit (it amounts to 16,72€ since 01/06/2008), is paid to the unemployed who are not temporarily employed following the end of payment of the unemployment benefit, on condition that they remain unemployed and their family income does not exceed a fixed amount (8.510,64€).

This special allowance amounted to **217,36€** from 1/6/2008 (16,72*13).

3.1.2 Special aid after a three-month registration in the unemployed persons list

It is paid to the unemployed, who do not have the prerequisites for a regular benefit (not seasonal workers) and have actually worked for at least 60 days in the year prior to that in which they registered with the OAED. These persons must remain unemployed (registered with the OAED) for 3 months. The benefit is paid every three months in three separate installments in the same year. The payment consists of 15 daily wages of the unemployment benefit, on condition that their family income does not exceed 8.510,64€.

This special benefit amounted to 250,80€ from 01/06/2008 (16,72*15).

3.2 Income and earnings disregards

None. The payment of the benefit is interrupted in case there is an income of more than 8.217,68€ coming from any source.

3.2.1 Calculation of the benefit

3.2.1.1 Irregular additional payments

No additional benefits are granted.

3.2.1.2 Obligations of family members

The family members are under no obligation.

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3.2.2. Income and taxes disregards

None. The payment of the OAED benefit ceases, in the case of an income, by any source, exceeding 8.510,64Euro.

3.3

No taxation is imposed on special allowances.

3.4 Treatment of particular groups

It is impossible to grant a benefit again

3.4.1 Young persons

A benefit granted to young persons (aged 20-29).

The benefit is granted to young persons, on condition these are unemployed and remain registered as unemployed for one year. The benefit amounts to 73€ per month and is paid for a period of five months. It aims to support the new entrants into the labour market.

3.4.2 Long-term unemployed people

The OAED grants a benefit to the long-term unemployed.

Long-term unemployed persons are considered those persons, who have been unemployed for twelve consecutive months, remain registered as unemployed with the OAED and have already enjoyed the right to receive, on a regular basis, a benefit for twelve months. Also, the

yearly family income must not exceed 5.000€. The said income increases by 587€ for each under-aged child.

The benefit amounts to 200€ and is paid for twelve months.

3.4.3 Seasonal aid

This aid is offered to persons belonging to occupational groups employed on a seasonal basis (construction workers, tobacco workers, actors, tile makers, forest workers, musicians, etc). The aid is paid on a yearly basis in the period from 1 October to 20 December. The following prerequisites must be fulfilled:

- The applicant must have actually worked for 50 – 210 days, as the case may be in the pertinent branch in the year prior to the year of payment.
- The applicant must not have actually worked for more days in branches other than the pertinent one in the previous year.
- The total of daily wages in any work must not exceed 240.
- The applicant must not fulfill the preconditions for regular benefit in the period in which the seasonal aid is paid.

3.4.4 Worker laid off due to insolvency of the employer

The OAED keeps an independent account called “Account for the protection of workers against employers’ insolvency”. The said account aims to pay up to three months earnings unpaid, due to the employer’s insolvency, as provided for in a contract of employment or a dependent working relationship. . **These earnings are considered and are being taxed as paid services.**

4. Social assistance

No general framework exists, but there are provisions regarding persons in great need. The Ministry of Health and Social Solidarity applies 11 financial assistance (subsidy) programmes for persons with disabilities depending on the type, the category or the percentage of disability.

Persons not having adequate economic resources, and who are unable to secure these resources on their own or by means of another source, mainly by means of allowances provided for by the social insurance system, are granted a lump sum payment amounting to 234.78€.

Moreover, financial benefits due to maternity are paid to all working mothers who are uninsured or who are not able to claim the said benefits from insurance bodies.

The maternity benefit is also granted to all foreign nationals who comply with the abovementioned requirements and their residence in Greece is legal.

Moreover, the Ministry of Health and Social Solidarity applies the housing aid program for uninsured and financially weak elderly persons over 65 who live alone, as well as for uninsured couples and financially weak elderly persons who have proof that they lack housing and reside in leased dwelling by paying housing benefit in the form of rent.

Uninsured elderly persons over 65 who do not receive pension from any insurance body are granted a pension, which is equal to the pension granted by the OGA, (Institute of Greek Agricultural Insurance) which is increased in case there is a spouse or a child under the age of 18.

Vulnerable social groups as well as all foreign nationals and their children have access by priority to social welfare services (Nurseries, Playgrounds, Child care centers, State summer school camps, Spa therapies for the elderly, “Help at home” program and housing assistance)

on condition that they comply with the requirements of the existing legislation and as long as their legal residence in Greece can be certified.

Furthermore, we would like to inform you that, within the framework of the provisions of Legislative Decree 57/73 and of Act 2646/98, the Ministry of Health and Social Solidarity issued a Joint Ministerial Decision (O.G. 1185/11-9-02 B') in order to deal more effectively with the problems faced by citizens affected by natural disasters. According to this decision the local prefectural Self-Government (Directorate of Welfare) directly grants the following:

- Tents and blankets for their temporary accommodation.
- Financial support of 586,94 Euros to each family to meet their first needs.
- A further 586,94 Euros, is granted to support families with many children who suffered damages, in addition to the abovementioned sum.
- A further financial support of 586,94 Euros is granted to affected families for each family member who is a person with disabilities and is subsidized by welfare services.
- Financial support of up to 5.869,41 Euros per household, for repairs of the main dwelling or replacement of furniture.
- Financial support of 4.402,05 Euros to persons suffering from a handicap due to an injury caused by a natural disaster.
- Moreover, in compliance with article 18 of Act 2768/99, by a Joint Ministerial Decision, the provision of emergency financial assistance to the families of persons who died because of an earthquake or other natural phenomena is allowed.

In order to be entitled to the abovementioned financial assistance the persons affected by natural disasters are obliged to submit the relevant application to the local prefectural Self-Government (Directorate of Welfare) within one (1) month from the date of the incident, as provided for by the above mentioned Joint Ministerial Decision.

Ministry of Interior Affairs

According to the provisions of Act1140/1981, as well as of the Joint Ministerial Decision No61384/6138/19-5-1983 of the Ministers of National Defense, of the Interior, of Justice, of Finance, of Health and Social Solidarity and of Public Order, as it has been amended and is applied, the Ministry of the Interior finances the first-degree Local Self-Government Agencies (OTA) so that they might cover the benefit granted to quadriplegic and paraplegic persons, which are active employees in the OTA, as well as to members of their families suffering from the said diseases.

During 2008, and, in accordance with data made available by the OTA, 50 OTA were financed with 767.653,23€, for the beneficiaries of the above benefit. The said credits are provided for in article 25 of Act1828/89.

Allowance paid to fire victims

In the school year 2007-2008, the **Ministry of Education and Religion**, in collaboration with the State Accounting Office, made a special lump sum payment to students in Higher Education and Religious Schools, who were hit by the fires that broke out throughout the country in the year 2007.

At the same time, all students coming from regions, where fires broke out in the year 2007, were given the possibility, if they wished, of taking eating meals and being accommodated, free of charge and by order of top priority, in a student lodging, during the school year 2007-2008.

Granting of awards and scholarships

The State's Scholarships Foundation (I.K.Y.), a body supervised by the Ministry of Education and Religion, makes available a number of awards and scholarships to each university school, which are granted to very industrious students, who have distinguished themselves at their

examinations for admission in a university school or during their attendance at a university school.

Distinguished students

Within the framework of the Digital Strategy 2006-2013, the action “See it...Digitally” was materialized in 2008, concerning the subsidization of persons, who came first in the examinations for admission in a university school in 2008 and now are first-year students, so that they might be able to get a personal computer.

The said action was co-financed at a rate of 80% by the European Regional Development Fund (ETPA) and at a rate of 20% from National resources, through the Operational Programme “Information Society” and materialized by the National Research and Technology Network (EDET), a body supervised by the General Secretariat for Research and Technology of the Ministry of Development, in collaboration with the Ministries of Economy and Finance and of Education and Religion.

4.1 Conditions for receipt

	2001 (in drachmas: 1€=340,75 drs)	2002	2003
Fire victims	138.840.00	36.977,26	21.174,00
Flood victims	28.000.000	3.070.728,15	1.519.444,00
Earthquake victims	274.066.000	2.197.432,87	1.772.850,00
Poverty	65.600.000	272.542,40	186.000,00
Death by natural disaster		5.870	
TOTAL	506.506.000	5.583.550,68	3.499.468,00

Allowance paid to fire victims

All students at Higher Education and Religious Schools, irrespective of their financial situation, are entitled to an allowance granted by the Ministry of Education and Religion, in collaboration with the State Accounting Office, as well as to free of charge meals and accommodation, on condition that they themselves or their parents: a)live in the region affected by the fires, b)their property suffered damage from the fire, and c)were not granted the same allowance by another bank or body.

Granting of awards and scholarships

The scholarships are granted to tertiary education undergraduates, taking firstly into account the student's financial situation and, secondly, his/her success in the examinations for admission in a university or in those taking place on completion of each year of studies.

Distinguished students

25% of students, who got the highest grades in the admission examinations for each tertiary education school or course in 2008, as well as students suffering from grave diseases, who

were admitted in tertiary education at a rate of 3% of the total persons admitted in each course or school in 2008, are entitled to the subsidization for the purchase of a laptop computer.

Allowance paid to fire victims

A lump sum of 1.500€ has been paid to each tertiary education student-fire victim, in accordance with Ministerial Decision No.9530/B3/06-09-07.

Granting of awards and scholarships

The allowance granted by the State's Scholarships Foundation to distinguished students each year, which amounts to 1.500€ and its payment depends on the family income and the student's success in the examinations taking place on completion of each year of studies, was granted to approximately 3.300 students in 2008. The total payment amounted to 4.950.000€.

Distinguished students

Each student-beneficiary of the subsidization for the purchase of a laptop computer is subsidized by the State for 80% of the value of the laptop computer of his/her own choice, the largest payment amounting to 800€.

For your further information, we remind you of the drawing up of a "National Strategy on Social Inclusion" by the Ministry of Interior, General Directorate for Migration Policy and Social Inclusion, Directorate of Social Inclusion, within the framework of which actions on particular priority axes are being scheduled, such as provision of information and services, promotion into employment, education, Health and Housing, Culture, etc.

5. Housing benefits

5.1 Conditions for receipt

The Workers' Housing Agency (OEK) beneficiaries are granted financial aid (rental subsidy) so that they may deal with the cost of renting a house. In order for the beneficiaries to receive the rental subsidy, they must fulfill the insurance, as well as other, prerequisites provided for in the Regulation called "Prerequisites for the granting of houses or loans by the OEK", i.e. they must have actually worked with insurance for a specific number of days, depending on their family composition, and neither they themselves nor any dependent member of their family must own a house or possess other assets, which might secure their housing. The beneficiaries that are individuals must have worked for a specific number of days, depending on the category (e.g. workers, working paraplegic - blind, etc), and fulfill the rest of legal prerequisites.

The status of being a pensioner is the only precondition for the participation in the rental subsidy programme, as far as the retired beneficiaries of the OEK are concerned.

The long-term unemployed beneficiaries of the OEK, as long as their unemployment and its duration are ascertained, are provided with a rental subsidy for the period of time during which they receive an OAED benefit, as well as for another two years following the termination of the benefit payment.

Ministry of Education and Religion

Tertiary education undergraduates are granted an **annual housing allowance of 1.000€**, in accordance with the provisions of Act No.3220/04 and Ministerial Decision No.1004908/301/02-02-04. The said allowance is paid for as long as the studies last, according to the rules of procedure of each department. Tertiary education graduates, who attend a course aiming at obtaining a second or a Master's degree, are not entitled to the above allowance, irrespective of how they have been admitted to the said course.

There is no specific age limit for a beneficiary, in order to be entitled to the allowance, provided that the legal preconditions are met. The student must reside in a rented house, which, due to his/ her studies, is in a city other than the one of his/her main residence, where

neither his parents nor he/ she have the full ownership or the usufruct of another residence. Those who reside in university student halls and boarding houses are not entitled to the allowance. In order for the allowance to be granted, the annual family income of the previous fiscal year must not exceed the amount of 30.000Euro, increased by 3.000Euro for each dependent child, beyond the first one.

5.2 Calculation of the amount of the benefit

5.2.1 Calculation of the gross benefit (per month)

Type of family	Monthly Benefit	Annual Benefit
Single persons and couples	115€	1.380€
Couples with one dependent child	140€	1.680€
Couples with two dependent children	165€	1.980€
Couples with three dependent children	215€	2.580€
Couples with four dependent children	215€	2.580€

The amount of the 215€ benefit increases by 25€ per month for each dependent child beyond the fifth child.

The abovementioned amounts of rental subsidy increase by 50% for the following OEK beneficiaries participating in the 2008 rental subsidy programme, depending on the category they belong to:

- Long-term unemployed persons, as well as beneficiaries who became unemployed due to the denouncement of their contract of employment in the year 2008, provided that they were unemployed for more than three (3) months.
- Unemployed beneficiaries who moved from their permanent residence and found work in other Prefectures in the year 2008.
- Beneficiaries whose net family income is less than 8.000,00€ in the fiscal year 2008.

Ministry of Education and Religion

The housing allowance granted to the beneficiaries-students of tertiary education amounts to 1.000Euro annually, and the relevant total sum that was granted during the fiscal year 2008 amounted to 70.000.000Euro.

5.2.2 Income and earnings disregards

The rental subsidy is granted to all low-paid beneficiaries, workers and pensioners, whose annual net family income does not exceed 12.000€ in the fiscal year 2008. This amount increases by 2.000€ for each dependent child.

Any kind of net income from any source, as seen in the tax return of the fiscal 2008, apart from: the lump sum compensation due to dismissal, the compensation paid by an insurance company due to an accident, the unemployment benefits, the interests of bank deposits, the paraplegic – quadriplegic benefits, the three-children benefit, the blindness benefit, the total disability benefit, the benefit for families with more than four children, the rental subsidy paid in the previous year, the confinement benefit, back pension of the previous year, the income deriving from the sale of assets in the previous year, the Pensioners' Social Solidarity Benefit (EKAS) and the amount paid as subsidy for the participation in further education and training programmes, the compensation paid for traveling expenses, the subsidizations deriving from agricultural products, the profits made from gambling (PROPO [i.e. football forecasts], LOTTO [i.e. Lottery]), provided that these profits do not exceed three times the subsidy amount of their category, the compensation granted by virtue of court decisions as well as the income deriving from LAFKA, is regarded as annual family income.

The payment of the benefit is discontinued in the case that another aid is granted by the OEK; more specifically, from the date that the loan agreement is signed or a house is granted.

5.2.3

During the year 2008, the amount of 154.640.154,78Euro was drawn for the OEK rental subsidy programme.

The provisions stipulated in para5.2.1 apply regarding the maximum housing benefit sum and how this varies depending on the size and type of a family.

5.3 Tax treatment of the benefit

No taxation is imposed on the benefit.

5.4 Benefit duration

The scheme has one-year duration and is paid once as a lump sum.

The scheme is repeated every year, as long as the requirements set are met every time.

5.5 Treatment of special groups

Provision of financial assistance from the Special Solidarity Fund (EKA) of the OEK to its beneficiaries, who are unable to pay off their debts resulting from housing loans or the price of a house, due to pressing social and financial needs, e.g., long-term unemployment, serious health problems of the beneficiary or his dependants, damages caused by natural disasters, etc. The above assistance is paid in two six-month installments.

Also, the provision of financial assistance from the EKA has extended to cover owed installments of bank loans, with a rental subsidy by the OEK, to its beneficiaries employed by employers, who have gone bankrupt. The said financial assistance is provided for the period starting as soon as wages stop being paid, as stipulated in the decision on bankruptcy, and up to the date, when the denouncement of the contract of employment is served by the trustee in bankruptcy.

Students' Housing Benefit

It is granted from 2004 onwards and based on the conditions provided for in Act No 3220/2004 on "Development and social policy measures – objectivity of tax controls and other provisions", under which the benefit is granted

6. Family allowances

A general scheme is applied, which is supplemented by the employer.

6.1 Conditions for receipt

The preconditions for receiving the family allowance is that the beneficiary must have actually worked for fifty days in the year preceding to that in which the relevant application is submitted or a two-month regular subsidy due to unemployment or a two-month continuous inability to work.

The children for whom allowance is granted must:

- a) be under 18 years of age or under 22 years of age, in case of students
- b) if they are incapable of working , for long as their incapability lasts
- c) be single
- d) reside either in Greece or in another EU Member State.

Calculation of the amount of the allowance

6.2.1 Calculation of the benefit amount

(General scheme)

The amounts of allowances, as readjusted for the year 2007 and 2008, have been formulated as follows:

1 child	8,22€
2 children	24,65€
3 children	55,47€
4 children	67,35€

For each additional child	11,298€
so, 5 children	78,68€

For each third child is added 2,93 per month

There is a special allowance for parents with more than 3 children	
3 rd child (up to the age of 6)	164,45€ monthly
Families with 4 or more children	41,10€ monthly per child
Life-Long pension to mothers with more than 3 children	94,58€ monthly

In the year 2006, Act No 3454/2006 was published, by virtue of which the mother, who gives birth to a third child or more from 1/1/2006 onwards, is granted a lump sum allowance amounting to 2.000€.

The employer usually pays each worker (married or not) with 5% of the gross income adding 10% for the spouse. The amount paid for the spouse is independent of her status of employment and income.

Women working with employment contract and are insured at the IKA are entitled to a complementary pregnancy and post-natal benefit.

This complementary benefit equals to the pregnancy and post-natal benefits granted by the IKA minus the regular wage. The regular wage is granted and insured by the competent insurance fund when the pregnancy occurs.

The complementary benefit is granted for as long as the pregnancy and post-natal benefits are granted, but not during the period when the employer is obligated to pay for the wage.

OAED grants the complementary benefit as a lump-sum amount after IKA has granted the full amount of the benefits.

Special Maternity Leave

By virtue of Act 3655/2208, art.142, a special maternity leave was instituted. Mothers insured at the IKA – ETAM and working with a fixed-term or non fixed-term contract, are entitled to this additional leave.

The additional leave is granted after the end of the pregnancy/ post-natal leave or the end of the 3.5 months leave granted in substitution of the reduced-time period, according to art.9 of the National General Collective Agreement 2004-2005. The special maternity leave starts the day the pregnancy/ post-natal leave or the reduced-time period ends.

OAED is obligated to pay a monthly benefit to the working mother that equals to the minimum wage as set by the National General Collective Agreement, as well as the proportion of holiday benefits and leave benefits according to the minimum wage.

Ministry of Education and Religion

In accordance with the provisions of O.G.902/2002, an income support, amounting to 300€, is granted to families with under-aged children attending primary and secondary school. This aid is being paid from the school year 2003-2004 until today; however, the total amount of the annual expenditure cannot be calculated because of the lack of appropriate data from the relevant services. The conditions for the payment of the said amount are as follows: (a) the annual family income must not exceed the amount of 3000€, (b) the under-aged child must not be over 16 years old and, finally, (c) the child must be a pupil of either an elementary or a secondary school.

Conditions for receipt

Families, including single-parent ones, with under-aged children attending public schools of compulsory education, are entitled to income support, provided their annual family income does not exceed the amount of 3.000€. This income support ceases at the end of the pupil's compulsory education and, in any case, after he/she completes 16 years of age. The said income support is a lump sum amount paid by the competent Tax Authority at the beginning of the school year.

Calculation of the amount of the allowance

The income support amounts to 300€ annually per child-pupil of primary or secondary education; this specific amount is not included in the amount of 3.000€, which must not be exceeded in order for the beneficiary's family to be entitled to the above support.

Treatment of special groups

The Ministry of Education and Religion, in accordance with para4 of article 33 of Act1566/1985 and para1 of article 3 of Act3699/2008, grants credit for the covering of expenses for the purchase of hearing aids for pupils (of primary and secondary education) attending public schools.

For the fiscal year 2008, the total credit provided for this reason by the budget of the Ministry of Education and Religion amounted to 517.718,63€ for Primary Education and 496.142,82€ for Secondary Education.

From the school year 2007-2008 onwards, compulsory education in Greece, by virtue of article 73 of Act3518, begins when the child is 5 years old (all children who on 31st December of the enrollment year have completed 5 years of age) and ends when the child is 15 years old, thus covering the years of study at Infant, Primary and Secondary School.

6.3. Tax treatment of the allowance

General scheme: No taxation is imposed on the allowance.

The allowance of the employer is added to the gross income prior to the imposition of tax.

By virtue of act no 2232/2006 the previous taxation on the allowance for the third or the fourth child was abolished.

6.4 Treatment of special groups

The amounts of family allowances increase by 3,67€ per month and by 44,04 per year for each child in the following cases:

- a) For not recognized children born out of marriage
- b) For children with disabilities
- c) For parentless orphans
- d) When the beneficiary is a widow
- e) When the beneficiary has a disabled spouse
- f) When the beneficiary's spouse is a soldier

Maternity benefits: these are financial benefits, which are granted due to maternity to working women that are not able to receive them from their insurance or are uninsured. The said benefits are granted for a period of six weeks prior to the childbirth and aim at securing satisfactory living standards. These benefits amount to 440,20€ (220,10€ before the childbirth and 220,10€ after it).

Support of unprotected children scheme: through this scheme, a monthly benefit of 44,02€ is paid to each unprotected child up to age of 16, provided that the monthly income of the family that the child is living with does not exceed the amount of 234,78€ for a three-member family (this amount increases by 20,54€ for each member of the family beyond the third one).

7. Child care benefits

During the school year 2007-2008 the OEE (Workers' Fund) Day Nurseries hosted in total 1.497 children, of which 484 in the prefecture of Attica and 1013 in the region.

As far as the childcare programmes are concerned, a scheme is followed in accordance with the rules of modern preprimary education and pilot educational, training and entertainment programmes are carried out in the nurseries, such as educational walks, action plans on intercultural education, environmental education, etc. During the year 2008, 145 educators, as well as 156 persons as administrative and assistant personnel, were employed.

The operational costs (catering-minor expenses-gifts for children) of the OEE Infant Nurseries for the fiscal year 2008 amounted to 1.571.205, 27€.

Furthermore, we would like to inform you that, since the summer of 2008, the OEE has incorporated a new scheme into its activities, whose objective is to provide benefited women with posts, concerning the care and accommodation of infants, preschoolers, children and adolescents, in structures (infant nurseries, infant nurseries of integrated care, day nurseries, centers for children's participation in creative activities – KDAP, and centers for the creative activities of children with disabilities – KDAP-MEA) and which aims at increasing the employability of women and their equal opportunities regarding access to work.

During the year 2008, 576 structures took part in the said scheme, each one of which applies its own educational programmes. In total, 10.264 children, aged from two (2) months to twelve (12) years or/and adolescents of certain categories, were hosted by the structures.

Respecting the fees paid by the parents for the care of children, we would like to inform you that the participation in both the OEE programmes is free of charge.

Ministry of Education and Religion

Compulsory education in Greece begins when children are 6 years old and ends when they are 15, covering their studies in both Primary School and the first three classes of High School.

7.1 Out-of-pocket childcare fees paid by parents

As far as the imposition of catering fees for the municipal day nurseries is concerned, it is provided for by the provisions of article 9 of the Model Regulation for the Operation of Municipal Day and Infant Nurseries (Joint Ministerial Decision No.16065/22-4-2002, O.G.B'497), in accordance with which the Administrative Board of the legal entity – following a fully documented consent of the relevant Local Self-Government Agency (OTA), which is in conformity with the social nature of the services provided – may define the criteria for the imposition of a monthly payment (catering fees) to the families of the hosted children, depending on their financial state. The same Administrative Board decision defines the cases of families that may be exempted from the payment of this financial contribution, or that may make reduced payments.

It is noted that the decision to impose catering fees is subsumed in the framework of the OTA and their respective legal entities' financial and administrative independence.

In order to improve the living conditions of the children and the standards of services offered, parents pay catering expenses depending on their family income.

The national guidelines 2004 (still valid in 2008) put forward the formulation of monthly catering expenses, as follows:

Family income (in €)	Catering expenses (in €)*
Up to 5.898,41	Free
5.898,41 – 8.804,11	20,54
8.804,11 – 11.738,81	26,41
11.738,81 – 14.673,51	35,22
14.673,51 – 17.608,22	44,02
17.608,22 – 20.542,92	52,82
Over 20.542,92	64,56

* half expenses are paid for the second child.

Families with more than three children and parents with disabilities (more than 67%) are exempt from the obligation to pay catering expenses when their income is up to 20.542,92€ (when the income is more than 20.542,92€, the expenses for the third child are 20,54€ and 10,27€ for every child beyond the third one).

The data provided for 2007 are still valid. Nevertheless, the competent Ministry of Interior informed us that the national guidelines for the formulation of monthly catering expenses are under discussion and will probably change within the next year.

7.2 Child-care benefits

By virtue of para5 of article 1 of Act3296/2004, the tax relief of 15% on the expenses for Day and Infant Nurseries has been repealed.

8. Allowances depending on employment

None.

9. Allowances for single-parent families

There is a fixed allowance for children without financial support. Please, refer to family allowances.

10. Tax system

10.1 Income tax schedule

10.1.1 Tax allowances and credits

Standard tax reliefs

Tax reliefs on social security contributions: contributions to social insurance institutes are not considered taxable income.

Non-standard tax reliefs

Main Non-Fixed Tax Reliefs relating to actual expenses: Expenses deducted from the total net income, which are subject to a ceiling.

- **Donations to the State**, municipalities and communities, state universities, the church, the monasteries on Mount Athos, the World Patriarchate of Constantinople, the Patriarchate of Alexandria and Jerusalem, the Sacred Monastery of Mount Sinai, the State and municipal nursing homes and private hospitals which are subsidised from State budget and the Archaeological Resources Fund
- **Donations to private non-profit making legal persons** who are engaged in cultural activities are deductible up to 10% of total taxable income but only if the donation exceeds EUR 100. Donations that exceed EUR 2 950 (per beneficiary and per year) are tax-deductible as well but the donor has to pay a 10 per cent tax on the part of the donation in excess of EUR 2 950.

- **Amounts donated to philanthropic institutions**, non-profit making bodies which provide educational services or grant scholarships, Greek legal persons governed by private or public law which have been or are being set up for philanthropic purposes and legally constituted sports clubs recognised by the Secretariat-General for Sports.
- **Insurance expenses** for life/death/accident/sickness for the taxable person, his/her spouse or their dependent children. This also includes the expenses for child insurance paid annually by divorced parents. The amount of deduction cannot exceed 10 per cent of the tax-free income step of the taxpayer's income tax schedule (in 2008, the deduction cannot exceed EUR 1 200).
- The **amount of rent** paid for the **main residence** of the taxpayer or his/her family's main residence, provided that the taxpayer is under 40 years old and the residence is located outside of the urban areas of Attica and Thessalonica. This deduction is offered during the first 5 years of the loan.
- The amount of **rent paid** by the taxpayer **at the location where he is detached**, given that he leases the private residence that he owns elsewhere. The deduction cannot exceed EUR 300 per month. Taxpayers who receive a housing allowance are not entitled to this deduction.
- 20 per cent of the amount – and up to EUR 3000 – paid to **mutual funds** that invest in Greek bonds and shares that are listed on the Athens Stock Exchange, for shares of mutual funds bought after 1-1-2005 and withheld until 31-12-2009.
- 20 per cent of the amount – and up to EUR 700 – spent on the **installation of natural gas systems**, solar panel systems, thermal insulation and teleheating systems.
- **EUR 2 400 for the taxpayer with invalidity** of over 67 per cent and for any dependent handicapped person with invalidity of over 67 per cent living with the taxpayer.
- 40 per cent of the amount of certain expenses (incurred by the taxable person, his/her spouse and dependent children) as defined by law and up to EUR 8,000. Among these are expenses for maintenance and repair of buildings as well as expenses for the provision of services by restaurants, beauty salons etc.

Non-Fixed tax reductions relating to actual expenses

- 20 per cent of the total annual amount of **rent paid for the taxpayer's main residence**, not exceeding EUR 1 200, provided that the taxpayer or his dependents do not own a dwelling with a surface equal to or larger than the rented dwelling in the same region and that the taxpayer does not receive any rent allowance from the state (the tax credit cannot exceed EUR 240).
- 20 per cent of annual **rent paid for the dependent children who are studying** at a recognised educational establishment in Greece up to a maximum of EUR 1 200, provided that the dwelling is situated in the same region of the school or university.
- 20 per cent of the **educational expenses** incurred by the taxpayer for himself or for his dependent children up to a maximum of EUR 1 200 per person. The expenses paid by divorced parents are also included. The tax credit cannot exceed EUR 240.

Note: The amount of each of these expenses that form the basis of the tax credit cannot exceed 10 per cent of the first tax free income step of the taxpayer's income tax schedule (for 2008 the deduction cannot exceed EUR 1 200). All expenses have

to be declared; they are calculated jointly for both spouses and are attributed to each spouse according to their declared income.

- 20 per cent of the expenses for **medical and hospital care** of the taxpayer and his/her dependents. The total credit cannot exceed EUR 6 000. Medical expenses in respect of unmarried or widowed children who suffer from an incurable disease, who are mentally retarded or are blind and whose total annual income does not exceed EUR 6 000 are also included.
- 20 per cent of the annual **interest** of mortgage loans taken after 1 January 2003 for the principal residence of the taxpayer. The relief is limited where the financed amount does not exceed EUR 200 000.
- 20 per cent of the **interest paid on loans** granted by banks and other credit institutions for the **restoration**, maintenance or improvement of scheduled buildings and buildings located in areas classified as traditional urban districts or as traditional settlements. The amount of the deduction is calculated upon the interest deriving from the part of the loan that does not exceed EUR 200 000. The credit only applies to loans taken after 1 January 2003.
- 20 per cent of the amount of **alimony** (with a maximum of EUR 3 000) that is paid to a spouse and is adjudicated/or agreed by notary deed. The tax reduction cannot exceed EUR 600.
- **EUR 60** in respect of **each dependent child** for taxpayers with employment income living for at least 9 months of the year **in certain border areas** or on certain islands. In case of a married couple, at least one spouse must satisfy these requirements in order for his/her family to receive this deduction.

Note: Taxpayers who reside abroad but derive taxable income from sources in Greece are not eligible for these deductions, with the exception of residents of the EU Member States who derive at least 90 per cent of their total income from sources in Greece.

- **Spouses:** if a wife earns taxable income, following additional amounts are tax-deductible: a) medical expenses of the wife, her children from a former marriage, her children born out of wedlock, her parents and orphaned relatives of first and second degree of kind, b) interest arising from first-home loans, c) additional child expenses when the wife works in a border area. If from the joint tax return submitted by the spouses no tax obligation arises for one of them, or the payable amount of tax is less than the sum of the deductions (medical expenses, rent of main residence of children who are studying, expenses for additional outside or home tuition, deductions for children because of service in border areas) then the whole amount of the deductions or the ensuing difference is attributed to the payable tax of the other spouse.

10.1.2 Definition of taxable income

Gross income minus tax exemptions.

10.1.3 Tax schedule

Basic tax scale

Income Category	Tax Rate (%)
Up to 12.000	0
From 12.001 to 30.000	27
From 30.001 to 75.000	37
75.001 or more	40

The tax-free amount of 12.000€ for the permanent residents of islands with a population up to 3.100 people increases by 50%, i.e. to 18.000€.

Since 2003, tax reductions that were granted in the past for dependent children have been replaced with a broader zone of tax-free income granted to persons, whose income is earned through employment and who have dependent children.

The tax-free income of persons with dependent children increases by 1.000€ to 13.000€ (one dependent child), by 2.000 to 14.000 (two dependent children), by 10.000€, i.e. to 22.000€ (three dependent children) and by another 1.000€ for every child beyond the third one. The next income scales are readjusted respectively.

10.2 Treatment of family income

Married persons (spouses) are taxed separately on their own separate income, but are required to submit a joint tax return.

10.3 Social insurance contribution scale

The average contributions rate paid by workers and employers to social insurance bodies is calculated on their gross income as follows:

	Employer	Employee	Total
1. Social Insurance Organisation (IKA)	18.43	9.22	27.65
2. Subsidiary Social Insurance Fund (ETAM)	3.00	3.00	6.00
3. Other Funds	6.63	3.78	10.41
Total	28.06	16.00	44.06

In the year 2008, the maximum monthly earnings, on which contributions are paid, are as follows:

- As far as old insured persons are concerned (i.e. those insured for the first time until 31/12/1992), the said earnings amounted to **2.384,50€** and **2.432,25€** in the period from 01/01/2008 to 30/09/2008 and from 01/10/2008 to 31/12/2008, respectively.
- As far as persons insured for the first time from 1/1/1993 onwards are concerned, the said earnings amounted to **5.437,96€** and **5.546,72€** in the period from 01/01/2008 to 30/09/2008 and from 01/10/2008 to 31/12/2008, respectively.

The aforementioned rates and earnings are also taken into account for the calculation of the contributions on Christmas and Easter bonuses, as well as on the holiday bonus, on which separate contributions are paid to IKA-ETAM.

11. Part-time employment

11.1 Special rules governing financial assistance to the part-time employed

The earnings of the part-time employed who work for less than 4 hours daily increase by 7.5%.

This provision aims at supporting the part-time employed with less than 4 working hours daily and promotes the greater participation in the labour market, especially of young persons and women, i.e. persons for which this type of employment is the only possible due to educational, family or other obligations.

A prerequisite for the application of the above is that the part-time employed be offered the minimum fixed remuneration provided for in the existing provisions.

Concerning the part time employment at the OTA, by virtue of Act3250/2004, as in force (Act3536/2007), bodies of the public sector, the OTA and other Public Bodies Corporate were given the ability to hire personnel bound by a fixed-term contract of employment under private law for part-time employment for four hours per day and twenty per week; the contract is of eighteen (18) months duration. It is mandatory that the part-time personnel belong to vulnerable social groups (unemployed of various categories, victims of mass dismissals, mothers of underage children, persons with special needs, persons with three

children, persons with more than three children), i.e. persons who, through this programme, achieve to support their family income as well as to accumulate time of service that is useful both for the collection of stamps and as previous service for future hiring/employment.

This personnel, as personnel bound by a fixed-term contract of employment under private law, is entitled by analogy to all remuneration and benefits provided for by law that are received each time by the respective permanent OTA personnel of the first and second degree, apart from the lump sum traveling expenses of the OTA personnel of the first and second degree (Act2685/99), since the working hours of this personnel do not justify the granting of the said expenses (article 28, para6, Act3536/2007).

The Ministry of the Interior subsidizes the first degree OTA of the Country from transferred credits of the State Budget, so that they cover payroll expenses of part-time employed staff hired for the realization of the OTA approved plans, as well as Public Bodies Corporate supervised by the OTA, for the provision of social services. To this end, in 2008, 818 first-degree OTA of the country were subsidized with the amount of 62.531.103,00€.

11.2 Special rules concerning taxation and social contributions regarding part-time employment

None.

12. Developments in the field of politics

12.1 Reforms that took place in 2008

1. **Act 2643/1998 “employment of persons of special categories”** which provides for the compulsory placement of persons with disabilities to bodies of the private sector, of public enterprises and organizations, and public services, public bodies corporate and Local Self-Government Agencies, is still an important instrument for promoting persons with disabilities to the labour market.

It is true that the management of the said act is complex and time consuming, although the competent services of the Ministry and of the OAED make every possible effort for its unhindered application. In order to overcome the obstacles, in 2007 a Committee was set up in our Ministry where all the protected categories and social partners are represented with the aim of reforming the above act. This Committee took into account the proposals of all the bodies and completed their elaboration at first stage. A small period of time is needed so that the final draft reform might be submitted which will contribute to the better application of the law while the criteria according to which the protected persons will be selected and placed will continue to apply.

The main objective of this initiative is the enactment of a special legislation for persons with disabilities which will codify the existing legislative regulations related to the protection of persons with disabilities and will also include new relevant provisions that may result from the dialogue between the State and the National Confederation of Persons with Disabilities (ESAMEA).

2. In 2008, **Act No. 3655/2008 respecting “Administrative and organizational reform of the Social Insurance System and other social insurance provisions”** was passed by the Ministry of Employment and Social Protection, aiming at reforming the social insurance system, so that a modern, socially fair, rational and sustainable system be built, which will comply with the European specifications and, on a long-term basis, place an emphasis on more favourable treatment of low income persons. To this end, the above-mentioned Act includes provisions for children with disabilities, too. In particular, regarding equality of the sexes, the favourable social insurance provisions in force for mothers of children with disabilities have been extended to fathers of the said children. More specifically:

a) By virtue of article 140 of the above Act, the right to retirement of mothers of children with disabilities (at a rate of 67% or more), who have completed 7.500 days of work (i.e. 25 years),

irrespective of age, has been extended to fathers of the said children, on condition that the mother does not exercise the said right.

b) Under article 144 of the same Act, the right to retirement of mothers of under aged or disabled children has been extended to widowers with under aged or disabled children, who fulfill the same terms and conditions as the said mothers and were insured with the IKA-ETAM by 31 December 1992.

3. Moreover, the Ministry of Economy and Finance proceeded to the reduction of the inheritance tax up to the rate of 60% for persons with disabilities at a rate of 67% or more - depending on the relationship of these persons with the person whose property they inherit – through the passing of **Act No. 3634/2008 on “Repeal of Act respecting inheritance and parental benefits – first house tax exemption – unified real estate tax – the fight against fuel smuggling and other provisions”**, with the aim to simplify the taxation system and ensure a fairer distribution of tax burdens.

12.2. Future changes in policy announced in 2008

The support of socially weak population groups, especially those living below poverty line and being in a real state of need, is a priority of the current economic and social policy. To this end, the role of the **National Social Cohesion Fund**, which was established by Law 3631/2008, will be crucial. Through the Fund a transition is attempted from the general social expenditure to expenditure targeted to poor households, while the effectiveness of social expenditure at a national level is expected to improve. The aim of the Fund is to support the most vulnerable groups at risk of poverty through integrated programs of targeted income support. The categories of beneficiaries shall be determined on the basis of specific income and social criteria and this gives an innovative character to the Fund. The income criterion refers to an annual income lower than 60% of the median equivalent total available income² (which is now officially defined as poverty line), while at the same time social criteria will also be taken into consideration, such as single-parent families, unemployed persons, low income pensioners, etc. The Fund shall finance the relevant programs to be prepared and implemented by the competent Ministries within the framework of poverty combating policies.

A new provision which was voted on January 2009 introduces the “Social Cohesion Benefit”, a lump sum, which is tax-exempt and will be given to the beneficiaries, namely low-income pensioners, unemployed as well as individuals with disabilities.

The exact amount of the benefit that the individuals receive depends on geographical as well as climate factor and the range is from 100 euro to 200 euro per beneficiary in accordance with the region of the country. Namely, the total sum that a two-person household receives can reach 400 euros. The beneficiaries are estimated to reach 1.850.000 persons and the expenditure amount to 236.000.000 €.

Concerning the benefits and any changes in the tax systems in the actual context of the economic crisis, we would like to inform you of the following:

- According to the provisions of art. 18 - Act 3756/3.31.2009, since 1.1.2008 the social cohesion benefit was exempted from the taxation of employment incomes.

² According to the methodology followed in the Survey on Income and Living Conditions of Households conducted every year by the General Secretariat of the National Statistical Service of Greece (ESYE), by virtue of Regulation 1177/2003 of the European Parliament and of the Council.

- According to the provisions of art. 3, Act 3754/11.3.2009 and since 1.1.2008, the book benefit granted to hospital doctors is not submitted to taxation.
- Furthermore, an un-taxed lump sum amount was granted to all beneficiaries entitled to receive financial help based on their total monthly income (art. 90, Act 3746/02.16.2009).
- The unemployment benefit was increased from 349.5 euros in 2007 to 430.75 in December 2008 and 430.7 in September 2008. Additionally during Christmas period the unemployment benefit was doubled for all the beneficiaries. This extra benefit was given to a total of 300,000 people and the total expenditure reached the amount of 70,000,000 euros.
- Through legal act, a flexible procedure for providing extra financial support by OAED has been established. By this Act OAED is given the opportunity to financially support unemployed people, both those receiving unemployment benefit and those who don't, with an extra financial aid that can reach the amount of 1,000 euros.
- A new provision, which was voted on January 2009, introduces the "Social Cohesion Benefit", a lump sum, which is tax-exempt and will be given to the beneficiaries, namely low – income pensioners, unemployed as well as individuals with disabilities. The exact amount of the benefit that the individuals receive depends on geographical as well as climate factor and the range is from 100 euros to 200 euros per beneficiary in accordance with the religion of the country. Namely, the total sum that a two-person household receives can reach 400 euros. The beneficiaries are estimated to reach 1,850,000 persons and the expenditure amount to 236,000,000 euros.
- For the support of the most vulnerable part of the population, the tax-free bracket for employees and pensioners was increased from 11,000 euros to 12,000 euros.
- A new law (Act 3714/11-07-2008) aims to shield Greek borrowers from the impact of the global financial crisis. It gives them the possibility of maintaining their house through favorable provisions, as follows:
 1. The amount below which a borrower's sole residence may be sold by foreclosure auction is increased from 10,000 to 20,000 euros.
 2. It is prohibited to conduct a foreclosure auction of real estate, to which the system of "objective" property values applies, at a price lower than the "objective" value of the property. This applies to properties both within the city plan and outside the city/ town plan, provided "objective" values have been set.
 3. The amount of guarantee required for participation in a foreclosure auction is increased from one-third to 100% of the value of the first bid.

ANNEX – ADDITIONAL INFORMATION ON NURSERIES

The Ministry of Health and Social Solidarity founded and financed from the State Budget 1.306 State Day Nurseries with a capacity of 78.000 children (from the age of 2.5 years up to their registration with the Primary School) and 132 Infant Nurseries with a capacity of 10.000 children aged 8 months and up to their registration with the Primary School, with a view to helping working parents as well as economically weak families. Children facing social problems and, for this reason, needing special social care, i.e., children whose one or both parents are dead, children of unmarried mothers, of divorced or separated parents, families with more than three children, parents with physical or mental disability, etc, have priority in their enrollment to the said nurseries.

The possibility that State Day Nurseries and Infant Nurseries may be established is provided for in the provisions of article 13 of Emergency Act (2/11/1935) respecting State Day Nurseries (Official Gazette 527/A), and, in that case, the issue of a Presidential Degree was necessary on proposal of the competent Ministers.

In order to improve the living conditions of children and the services provided to them, parents paid catering fees depending on their family income.

It is pointed out that all State Day Nurseries and Infant Nurseries came ipso jure under the OTA, according to the provisions of article 12 of Act 2880/2001 (O.G.9/A/30-01-2001), and now operate as municipal and community Public Bodies Corporate under article 239 of Act 3463 (O.G.114/A) (Municipal and Community Code).

The operation of the new Municipal Legal Entities (former State Day Nurseries) is regulated by an Operation Regulation, which is drawn up by the pertinent Municipal or Community Councils and is based on the Model Operation Regulation that has been issued by joint decision of the Ministers of the Interior, Public Administration and Decentralization and of Health and Welfare and is approved by decision of the General Secretary of the Region.

The Ministry of Interior Affairs is responsible for the supervision and control of the above-mentioned municipal entities.

It is noted that an Inspectorate Body for Health and Welfare Services (SEYYP) was set up within the Ministry of Health and Welfare by Act 2920/2001 (O.G.131 volume A). The said Body may, *inter alia*, intervene in the first degree OTA Services, in the field of Welfare, in order to ascertain the quality and sufficiency of facilities and equipment, as well as in order to take the necessary safety measures for the children's and the personnel's healthy living conditions.

Furthermore, 164 Day Nurseries and Infant Nurseries were operated by bodies supervised by the Ministry of Health and Social Solidarity (National Foundation for the Protection of Mother and Child [PIKPA], National Welfare Organization [EOP], Infants' Centre "MITERA", Institution of Athens Infant Nurseries, Institution of Thessalonica Infant Nurseries and Institution of Larissa Infant Nurseries), which were financed by the State Budget.

These Nurseries, in accordance with article 8 of Act 3106/10-2-2003 (O.G.30 vol. A) on the "Reorganization of the National Social Care System", are now under the competency of the municipalities and communities, in whose administrative region they operate.

The personnel employed in the nurseries are hired in accordance with the standard procedures applying to the hiring of personnel in the Public Sector.

39 Nurseries have been founded and are operated by Charities (non-profitable), some of which are subsidized symbolically by the State Budget.

Also, approximately 1090 Private Day and Infant Nurseries operate (private enterprises).

The Nurseries founded by Charities, as well as the Private Day and Infant Nurseries, operate upon relevant license issued by decision of the Prefect of the local Prefecture, in accordance with the prerequisites set by Ministerial Decision No.P2b/oik.2808/97 (O.G.645/B/97), as amended and supplemented subsequently.

The personnel employed in these units are hired by persons or legal entities, in the name of which the operation license has been issued; the hiring of said personnel is approved by decision of the Directorate or the Section of Public Welfare of the local Prefecture.

The inspection concerning the smooth operation of these units is carried out by the competent services of the Prefecture pursuant to the provisions of article 1 of Act 2345/1995 (O.G.213/A/95).

Since the infant nurseries have come under the competency of OTA, today, 1.574 infant nurseries operate in OTA, mainly in the form of legal entities under public law (NPDD) and 162 in the form of OTA enterprises, while they care for 72.000 children and approximately 7.000 infants. They employ 11.134 persons.

The countries Regions are competent for issues of supervision and inspection of the said municipal legal entities, while the relevant institutional framework is determined by the Ministry of the Interior, Public Administration and Decentralization (Directorate of Organization and Operation of the OTA).

Board fees are paid to the majority of nurseries; either based on the parents' income category or a fixed amount of 10€ up to 150€ on a monthly basis.

For the year **2008**, 555 OTA of the country were subsidized to cover their operational costs and primarily the salaries of the Day and Infant Nurseries' personnel of the Act 2880/2001, with a total amount of **210,715.243,96€**, while 134 OTA were subsidized to cover the abovementioned expenses of Legal Entities and Services, as stipulated by Act 3106/2003, including the expenses of Day and Infant Nurseries, with a total amount of **44.989.213,26€**. The above-mentioned amounts are included in the amount of the regular subsidies granted every month to all municipals and communities of Greece, in accordance to the amounts of the State budget concerning the Central Independent Funds.

Furthermore, by virtue of the 46855/1622 Joint Ministerial Decision (O.G. 1186/B/26.6.2008) as amended and in virtue by the 60460/2171/28.08.2008 Joint Ministerial Decision (O.G. 1739/B/28.8.2008) "Management, Evaluation, Monitoring and Control System – Implementation Procedure for the reconciliation of the professional and family life", co-funded by the European Social Fund in the framework of the National Strategic Framework of the period 2007-2013, and according to the new function of the children's institutes (nursing schools, creative centers for children and children with disabilities), institutions offer to women with children nursing services. This is a personal action and is been offered to all women meeting the requisitions set by the above-mentioned J.M.D.

Enterprises of the Act277 and of the P.D. 410/1995, as well as Municipal Enterprises of the Act3463/2006, art.254, can also offer the above-mentioned services. Legal profit or non-profit entities as well as private enterprises with the necessary permits, can also offer the aforementioned services.

Finally, we would like to inform you that, according to the Joint Ministerial Decision No.4036/2001 (O.G.1128/B/2001) of the Ministers of the Interior, Public Administration and Decentralization, of Labour and Social Security and of Health and Welfare, as it was amended subsequently, the Regional Operational Programmes (PEP) and the Operational Programme "Employment and Vocational Training" that have been approved within the Third Community Support Framework, also include actions respecting - as far as the PEP are concerned - the operation of new structures or new sections in existing infant nurseries

structures or infant nurseries of integrated care [BSOF] (department of infants with disabilities) or day nurseries or Centers for the Creative Activities of Children (KDAP) or / and Centers for the Creative Activities of Children with Disabilities (KDAP MEA); as far as the Operational Programme "Employment and Vocational Training" is concerned they include the continuation or even the expansion of operation of the already existing structures, which were co-financed by the European Social Fund within the Second Community Support Framework.

Within the framework of the Operational Programme "Employment and Vocational Training" implemented by the Ministry of Employment and Social Protection, works related to the operation of social care structures (Day Nurseries, Infant Nurseries, Centers for Children's participation in Creative Activities, etc) have been approved and co-financed, aiming at promoting women's integration into the labour market, by means of helping them to respond to their family responsibilities concerning their children's care, while being at work.

On 31 August 2008, date on which the financing of the said structures came to an end, 98 Centers for Children's participation in Creative Activities, 91 Day and Infant Nurseries and 6 KDAP-MEA operated. The structures employed 1.038 persons and cared for 6.257 children, while their operational cost for the period from 01/01/2008 to 31/08/2008 amounted to 14.671.181,62€.

Within the framework of the Operational Programme "Development of Human Resources" and for the 4th programming period 2007-2013, from 01/09/2008 onwards, actions are co-financed aiming at enhancing qualitative and quantitative labour supply and promoting mainly women's employability, by means of "Reconciling family responsibilities and professional life".

The aforementioned actions aim at increasing employability, through provision of individualized (targeted) support to beneficiaries, who are responsible for caring for infants, children, as well as children and adolescents with disabilities and face additional difficulties in reconciling family responsibilities and professional life.

Within the framework of the above actions, a relevant Work, the Beneficiary of which is the Workers' Fund, is already being materialized and 9.900 posts for infants/children and children with disabilities were made available in the school year 2008-2009. More specifically, the total cost for the period from 01/09/2008 to 31/12/2008 amounted to 8.000.000€.

The competent bodies for the management and the implementation of the aforementioned actions are, the Special Management Service of EPEAEK, for those financed by EPEAEK, while , for those financed by PEP, the Special Management Services of the Country's Regions, in accordance with Act 2860/2000 (O.G.261/A/2000), to which the relevant applications of the final beneficiaries of these actions are submitted, i.e. the OTA enterprises and the Inter-Municipal enterprises and the civil companies set up by the OTA and aim at the social development or welfare or have an objective relevant to the above.